LHV Group

Issuer review · 9M2026

Analysis date: 2026-10-22
Rating: Moody's: LHV Group senior unsecured Baa2 (positive outlook); LHV Pank deposits A3 (positive), updated 2025-09-01[1]
Next report: October 2026 monthly results - 2026-11-17[2]

Position OK. Q3 profit was a record EUR 37.5m (EUR 26.3m a year ago), and the bank says it will meet its financial plan targets[3]. The capital buffer has narrowed: total capital is 20.25% against an internal target of 20.0%[4]. This matters most for the Tier 2 and AT1 bonds held.

Net profit (9M2026)	ROE (9M2026)	CET1 ratio (9M2026)	Total capital ratio (9M2026)
81.91 EUR m	**14.0%**	**15.28%**	**20.25%**
▼ 5.0 % vs 9M2025	▼ 2.1 p. p. vs 9M2025	▼ 1.76 p. p. vs FY2025	▼ 3.05 p. p. vs 9M2025

Quick summary

- **Strong third quarter:** net profit EUR 37.5m (EUR 26.3m a year ago), ROE 19.3%. Nine-month profit EUR 81.9m, slightly below last year (EUR 86.2m)[5].
- **On track for the plan:** management says Q3 results were "firmly ahead of our financial plans" and the year's targets will be met. The 2026 plan is EUR 117.9m net profit[6,7].
- **Smaller capital buffer:** total capital 20.25% (YE2025 22.39%), CET1 15.28% (17.04%). The internal target is 20.0%[4].
- **Liquidity and MREL with headroom:** LCR 173.9%, MREL 35.04% of TREA versus a 24.59% requirement[8].
- **Loans growing:** loans to customers EUR 5,951m (+8.9% since YE2025; calculated by the tool), deposits EUR 7,735m[9].

Instruments held and ISINs

ISIN	Instrument	Coupon	Maturity	Note
XS2822574245	LHV Group 5.375% senior notes 2028	5.375%	2028-05-24	Senior unsecured (holding company); callable 2027-05-24
XS3153067288	LHV Group 5.5% Tier 2 2035	5.5%	2035-09-16	Subordinated Tier 2
EE3300004993	LHV Group 6.0% Tier 2 2034	6.0%	2034-11-15	Subordinated Tier 2
XS2693753704	LHV Group senior FRN 2027	–	2027-10-03	Senior unsecured (holding company), floating rate; coupon not found in public sources read
XS3042781024	LHV Group 9.5% AT1 perpetual	9.5%	perpetual	Additional Tier 1, perpetual; call date not found
XS3090105829	LHV Group 4.125% senior notes 2029	4.125%	2029-06-18	Senior unsecured (holding company); callable 2028-06-18

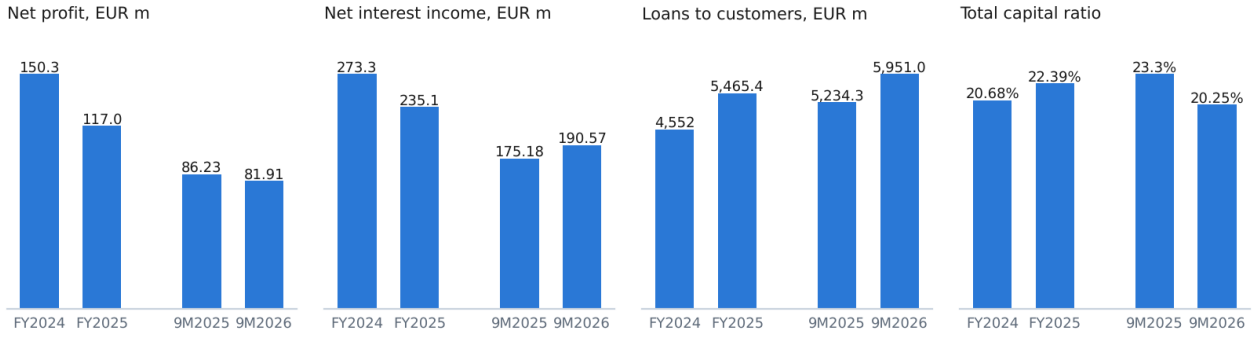
Key ratios

Metric	FY2024	FY2025	9M2025	9M2026	Change
Net profit, EUR m[10,11,5]	150.3*	117.0*	86.23*	81.91*	▼ 5.0 % vs 9M2025
Net interest income, EUR m[10,5]	273.3*	235.1*	175.18*	190.57*	▲ 8.8 % vs 9M2025
Total operating income, EUR m[10,5]	338.3*	304.8*	225.95*	232.69*	▲ 3.0 % vs 9M2025
Cost/income ratio[12,5]	43.4%*	52.3%*	51.7%*	**57.0%***	▲ 5.3 p. p. vs 9M2025

Metric	FY2024	FY2025	9M2025	9M2026	Change
ROE[12,5]	24.5%*	16.0%*	16.1%*	**14.0%***	**▼ 2.1 p. p. vs 9M2025**
Net interest margin[12,5]	3.48%*	2.49%*	2.57%*	2.51%*	**▼ 0.06 p. p. vs 9M2025**
Loans to customers, EUR m[10,13,5]	4,552*	5,465.4*	5,234.3*	5,951.0*	**▲ 13.7 % vs 9M2025**
Customer deposits, EUR m[10,13,5]	6,910*	8,134.4*	7,452.9*	7,735.3*	**▲ 3.8 % vs 9M2025**
CET1 ratio[12,8,14]	16.89%*	17.04%*	–	**15.28%***	**▼ 1.76 p. p. vs FY2025**
Total capital ratio[12,8,15]	20.68%*	22.39%*	23.3%*	**20.25%***	**▼ 3.05 p. p. vs 9M2025**
Leverage ratio[12]	6.71%*	**7.0%***	–	–	**▲ 0.29 p. p. vs FY2024**
MREL (% of TREA)[12,8]	33.24%*	34.73%*	–	35.04%*	**▲ 0.31 p. p. vs FY2025**
LCR[12,8]	187.5%*	185.0%*	–	**173.9%***	**▼ 11.1 p. p. vs FY2025**
NSFR[12]	154.4%*	**156.8%***	–	–	**▲ 2.4 p. p. vs FY2024**
NPL ratio[16]	–	–	–	**1.2%ᶜ**	–

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



Business performance review

- Nine-month net interest income EUR 190.6m (+8.8%), total income EUR 232.7m (+3.0%; changes calculated by the tool). Q3 net interest margin 2.80% (2.36% a year ago)[5].
- Nine-month cost/income 57.0% (51.7% a year ago). EUR 8.9m of provisions were released in Q3, so loan losses had no negative impact[17].
- **LHV Bank (UK) is behind plan:** profit before tax GBP 4.7m versus GBP 7.2m planned; GBP 10m of CET1 capital injected in September[18].
- Stage 3 (non-performing) loans EUR 72.4m, about 1.2% of loans (calculated by the tool)[16].

Financials

- **FY2025 net profit EUR 117.0m (2024:** 150.3m), ROE 16.0% (24.5%): lower interest rates reduced interest income. The bank missed its 2025 targets, with profitability 6.5% short[19].
- Year-end 2025 capital ratios were restated after an ECB inspection: CET1 17.04% (annual report: 17.42%), total capital 22.39% (22.85%). The ECB imposed a EUR 0.4m penalty for wrongly calculated risk-weighted assets related to the investment in the UK entity[8,20].
- **Dividends:** EUR 57.9m paid in 9M 2026; dividend per share for 2025 EUR 0.09 (2024: EUR 0.13)[21,12].

Past plans vs outcomes

Plan / target	Outcome	What changed and why	Status
2026 financial plan: EUR 117.9m net profit, ROE 15.0%, total capital 20.9%	9M: EUR 81.9m profit, ROE 14.0%; management expects to meet the targets[7,3]	In progress: Q3 results are ahead of plan thanks to higher interest income and provision releases[22]. Capital (20.25%) is currently below the 20.9% plan[14].	**In progress**
2025 financial plan	Missed: profitability 6.5% below plan[11]	Missed: interest rates fell faster than expected and net interest income dropped from EUR 273.3m to 235.1m[23].	**Not met**
More than double net profit by 2030 (plan for 2030: EUR 290.2m), ROE target 20%	Long-term target; 2026 progress in line with plan[24,7]	New target announced in the 2025 annual report[25].	**In progress**
Dividend policy: dividends including taxes 25% of pre-tax profit, without hurting capital targets	For 2025: EUR 0.09 per share; 2026 plan: EUR 0.08[26]	Paid in line with the policy[27].	**Met**

Investor information & conclusions

- **Instruments held (all issued by LHV Group, the holding company):** three senior unsecured bonds, 5.375% 2028 (call 2027-05-24, EUR 300m), 4.125% 2029 (call 2028-06-18, EUR 60m) and an FRN due 2027-10-03 (EUR 100m); two Tier 2, 6.0% 2034 (EUR 20m) and 5.5% 2035 (EUR 80m); and a 9.5% perpetual AT1 (EUR 50m)[28,29,30].
- **Rating:** Moody's rates LHV Group senior unsecured debt Baa2 with a positive outlook[1].
- **For subordinated bonds:** total capital of 20.25% is only slightly above the internal 20.0% target, while MREL of 35.04% is above the 30.59% level that gates dividends[4]. AT1 coupons are therefore more sensitive to capital than the senior bonds.
- **2026 funding:** a new EUR 200m 4.50% senior bond (2030) and a EUR 15m 8.0% AT1 were issued; the EUR 20m 7.0% bond EE3300003250 was redeemed early[29,30].
- **Conclusion:** profitability is recovering and the plan is on track; liquidity and MREL have headroom. The capital buffer is smaller, but the bank stays within its internal target.

ESG report

Exclusionary screening (companies)

☑ Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel

- The bank is not active in excluded sectors.
- It publishes a list of activities that go against its credit policy[31].
- The credit policy rules out lending to customers with clear evidence of human rights violations or serious environmental harm[32].

☑ Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards

- No UN Global Compact or OECD related controversies found (quick search, 2026-10-22).
- The only supervisory penalty is a EUR 0.4m ECB fine over risk-weighted asset calculation[20].

☐ Yes, the company is not in the list of sanctions (add a screenshot)

Needs review

- Automatic check against the EU, UN, US OFAC and UK consolidated sanctions lists.

☑ Yes, issues were not identified from adverse media checks (add a screenshot)

- No adverse news about LHV found (search in Estonian and English, 2026-10-22).
- The main case has LHV as the claimant: in July 2025 the bank notified the Financial Intelligence Unit of its intent to claim a EUR 247.5m contractual penalty, because the unit accessed LHV client account statements 1,289 times without legal basis[33].

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG integration and positive screening (positive answers imply higher allocation)

☑ Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)

Sustainable products

- Energy-efficient home loans, EV leasing, apartment renovation and energy project loans, the EIF sustainable loan programme[32].

Targets

- At least 50% of new mortgages for A and B energy class housing, 100% renewable electricity by 2030[34].
- No financing of new diesel passenger cars from 2030[35].

☑ Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)

- Aims to contribute to the Paris Agreement goals and the transition to a climate-neutral economy by 2050[36].
- Green asset ratio 4.86%[37].

☑ Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards

- No yellow flags found.

☑ Yes, the company fulfills the expectations from SEB thematic and sector policies

Applicable

- No SEB sector policy for banks, so the Investments policy and the Environmental and Social & Human Rights policies apply[38].

Met

- Activity exclusion list[31]
- Human rights and environmental criteria in the credit policy[32]
- Human rights risk assessment[39]
- Climate targets[34]
- ESG policy[31].

Could be improved

- Financed emissions (PCAF) are not disclosed as figures[40].

Additional comments:

Engagement

☐ Is there a need for pro-active engagement with the company?

- No need: the bank is profitable, liquidity and MREL have headroom and ESG practice is in order.

Additional comments:

Indicators

☑ Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund

- Own Scope 1 emissions 0 t CO2e, Scope 3 573,454 t CO2e in 2025[41]
- Green asset ratio 4.86%[37]
- Women on the Group management and supervisory boards 30%[42].

Additional comments:

Conclusion: No exclusions or red flags. Sustainable products and clear climate targets; financed emissions are not yet disclosed as figures.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Financial sector - no dedicated SEB sector policy (thematic policies applied); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

Sources

1. LHV Group - Credit rating, 2026-10-22
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7. LHV Group - Financial forecasts (financial plan 2026), 2026
8. LHV Group - Interim report January-September 2026, p. 10, 2026-10
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37. LHV Group - Annual sustainability report 2025, p. 95, 2026
38. SEB Policy on Sustainability Considerations in Investments (2026-04-15), p. 5, 7, 2026-04-15
39. LHV Group - Annual sustainability report 2025, p. 90, 2026
40. LHV Group - Annual sustainability report 2025, p. 88, 2026
41. LHV Group - Annual sustainability report 2025, p. 98, 2026
42. LHV Group - Annual sustainability report 2025, p. 85, 2026

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